always the case that India could use economic clout in the conduct of foreign policy.

For years, India's leaders and Indian governments did not accord economic foreign policy the same priority as security policy. The Indian Foreign Service, in its training and functions, traditionally treated economic matters as falling outside their essential role. Trade and commerce was a subject for consular officials, not for India's diplomats. As early as 1947, an Economic Affairs Division was created in the Ministry of External Affairs only to be abolished in 1950. Later, in 1961, that division was revived as the Economic and Coordination Division under a Joint Secretary.[22]

This reluctance to undertake economic diplomacy led to an interesting phenomenon in India's economic foreign policy: the role of business organizations like the Federation of Indian Chambers of Commerce and Industry (FICCI), the Associated Chambers of Commerce of India (ASSOCHAM) and the Confederation of Indian Industry (CII). Even before Independence, business groups started playing a critical role in India's external relations insofar as economic matters were concerned. Over the years, both diplomats and economic specialists have had to deal with economic issues, including trade with other countries, aid that India receives, foreign investment, relations with international economic institutions like the IMF, World Bank and Asian Development Bank, and finally with aid that India has started providing other developing countries.

India has also taken its time in figuring out its place in the global economy. Nehru and Indira spoke of changing the global economic order but through diplomatic means and through participation in organizations like the Non-Aligned Movement and the United Nations. Instead of building India's economic muscle under the existing rules of the game, they hoped that India could lead other poorer nations in demanding changes to the structure of the global economy. This, in turn, was supposed to raise India's weight in world affairs and also strengthen its economy. It is only